

IT's a HOME RUN

Big-ticket government projects keep the IT industry going and growing amid the global recession

By Nivedita Mukherjee

It's the worst of times and the best of times for software companies. Hit hard by the economic downturn in the West, the information technology (IT) sector has found an unlikely saviour in the Government, both at the Centre and in the states. An ambitious national e-governance plan requiring extensive use of IT for better delivery of schemes and projects has thrown open a wide basket of opportunities for services ranging from easy filing of tax returns to quick ticket reservation. Thanks to some hefty government orders, the IT industry whose exports were swept into rough seas owing to a sharp contraction in demand in the US and Europe—which accounted for 60 per cent of revenues—has recently posted a \$50-billion turnover and is eyeing government projects worth a whopping Rs 30,000 crore.

R. Chandrasekhar, secretary IT, Government of India, describes this rush as a happy convergence between the huge amount of preparatory groundwork for e-governance and the global downturn. "It made the IT sector look much more towards the domestic economy than in the past," he says. More of such opportunities are going to drive the estimated 15-17 per cent growth of the sector in fiscal 2011. Agrees Som Mittal, president, Nasscom, "The domestic sector in the past year has witnessed a rapid growth, largely led by government spending on IT and forays by leading companies into the Indian market with special thrust on government projects. The Government's recognition of technology adoption has created a large opportunity for the industry to help the country leapfrog digital inclusion."

What is more important to India's service providers is that the Govern-

SABAHAT AZIM (L) OF SREI SAHAJ WITH SBI'S J.K. SINHA AT THE LAUNCH OF A FINANCIAL INCLUSION PROJECT IN DELHI

ment is looking at it in a fundamentally different way. Karan Bajwa, general manager of public sector, Microsoft India, echoes the industry's feeling that from viewing it as an enabler, the Government is now looking at it as an agent of change. So if SAP India is securing orders to deploy its solutions in municipal corporations in Karnataka for modernisation of urban local bodies, Microsoft India is working with the Maharashtra Government to enhance Information and Communications Technology (ICT) adoption in education and for building employability. Anand Sankaran, head-India and Middle East, Wipro Infotech, says, "We have \$1.1 billion revenue from India, of which 10 per cent comes from government projects compared to 5-6 per cent three years ago."



SIZE OF SOME KEY OPPORTUNITIES

Higher Education
Rs 215.31 cr

Land Resources
Rs 299.76 cr

Rs 1,537.50 cr